

out to enable online registrations and return filing. Union Labour Secretary Vandana Gurnani says that is underway.

In the interim, companies and workers alike are trying to assess the impact of on their own work, and how salaries and payrolls would be restructured. Experts say much will also depend on the rules framed by the states.

Prakash of Khaitan & Co says whether the compliance is going to eventually ease is still to be seen. “The central rules are yet to be notified. The whole process of circulation of draft central rules under different Codes is going to be initiated again because a substantial amount of time has elapsed. It will take anywhere between 45 to 60 days for the central rules to be finalised.”

Since both the Centre and the states have to come out with rules, there could be states where the rules are a replica of the central ones and some where it is a departure. “The most important point is that the provisions pertaining to leave encashment, overtime and working hours for commercial establishments, are also mentioned under a central law now,” Prakash points out, adding that it was always supposed to be covered under state law, which is the Shops and Commercial Establishments Act. “And the irony here is that under no circumstances can one say that the existing state legal regime has been completely repealed,” he adds. Thus, the divergence is likely to continue till there are efforts to harmonise the rules.

Companies must treat the Labour Codes as a structural compliance reset, not a procedural update, explains Agrawal of TeamLease RegTech. Preparation is mandatory across four fronts—compliance architecture, payroll and cost structures, workforce policies, and digital transformation—because the Codes alter definitions, thresholds, enforcement models, and documentation requirements simultaneously. They will have to redesign payroll and CTC structures and prepare for unified registration and return filing, among other issues.

Costs of annual health check-ups, gratuity to fixed-term employees who work for a period of one year, creche facilities at establishments with over 50 workers and safety measures for women who work night shifts, and a fund for re-skilling workers are other issues under discussion in most offices. The definitions of employee and employer have also been broadened bringing more workers under the law, including contract labour hired by companies.

However, Gurnani underlines that formalisation of workers should not be seen as a cost. Rather the benefits will ensure a more productive workforce.



RAJIV MEMANI
PRESIDENT, CII

“The government has addressed industry's demand for simplified compliance while making the framework inclusive...”



KE RAGHUNATHAN
NATIONAL
CHAIRMAN, AIE

“All of these are good measures, but there needs to be clarity, transitional financial support and a flexible implementation mechanism”

IMPACT ON INVESTMENT AND JOBS

A report by the think tank National Council of Applied Economic Research, titled *India's Employment Prospects: Pathways to Jobs*, says India needs to urgently overcome bottlenecks to raise both the quality and quantity of workforce participation and productivity.

“Since 2017–18, India's working-age population has grown by nearly 90 million, but the economy has created only about 60 million jobs in that period (PLFS, 2024). This translates to a shortfall of 5 million jobs per year, even as roughly 10–12 million people enter the labour force annually,” the report states. Of those who are employed, only one in four enter the formal economy.

The manufacturing sector, considered a historical bulwark of the transition from an agrarian to a high productivity economy, has seen its share in employ-